

This assumes significance since as per Sebi data, depositories NSDL and CDSL cumulatively added 1.8 million demat accounts in November 2022, bringing the total number of demat accounts to 29.9 million at NSDL and 76.2 million at CDSL. One also needs to take into account the concentration factor as the share of the top five broking firms in trading volumes in the current financial year till November was pegged at 40.8 per cent on BSE and 25.2 per cent on NSE. Further, the share of the top 25 and 50 brokers was pegged at 71.3 per cent and 80.7 per cent, respectively, on BSE; and 60 per cent and 77.2 per cent, respectively, on NSE. Simply put, the standalone brokerage firms do have a loyal and sticky set of customers with a vast majority of those even ready to pay for good quality research and advisory.

IIFL Securities' Venkataraman believes that "mature investors seeking advice to generate alpha or create long-term wealth will not mind spending for services with a full-service broker or wealth manager... We at IIFL will continue to focus on full-service broking and advisory services for the mass affluent segment".

A POSITIVE FUTURE

Chandok of ICICI Securities has a positive outlook and believes that structurally, the broking industry is in a great position. "The demographic is young and they are all digital natives. Plus, their savings are more likely to go towards financial assets, compared to their slightly older counterparts who preferred physical assets like gold and real estate. Then there is India's growth story playing out. For the next five years, the structural undertone is very constructive," he says.

Incidentally, all full-service brokerages are betting big on the 'financialisation' quotient and hence their apps currently offer everything related to investing—equity, debt, mutual funds, bank deposits, insurance, retirement, loans—and are not merely platforms to buy or sell stocks.



"We decided that we will pivot to become a more holistic provider of services in the overall Indian financial services space... The endeavour is to become a marketplace of financial products"

VIJAY CHANDOK

MD & CEO,
ICICI SECURITIES



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R. VENKATARAMAN

CHAIRMAN,
IIFL SECURITIES

Experts also believe that while many new investors will start their investing journey with the discount players due to the low cost of trading, a large chunk will migrate to the full-service ones for value-added services. "As the Indian economy is growing rapidly, more investors and mass affluent clients will seek advisory and there is enough space for full-service brokers going ahead, while discount brokers will also have enough space to introduce investing and trading to new investors," says Venkataraman.

But full-service players will have to be mindful of the fact that their discount counterparts are also looking at different models to generate a steady income flow and value-added services can also be offered in an unbundled manner—pay if you use. With both kinds of brokerages set to co-exist in the broking space, the healthy but aggressive competition can only be good for investors. **BT**

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1,300+
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REGISTERED
BROKERAGES
IN INDIA,
ACCORDING
TO SEBI